

Executive Summary

This analysis was conducted to identify the key factors that influence employee attrition and to help HR prioritize retention efforts.

The findings show that employees are most likely to leave when they have lower salaries, frequently work overtime, and are younger in age. These factors consistently appeared as the strongest indicators of attrition across the analysis.

The groups that require the most immediate attention are **Sales Representatives**, followed by **Laboratory Technicians** and **HR staff**. These roles experience the highest turnover rates and are more likely to be affected by the risk factors identified above.

The analysis also found that salary alone does not explain why employees leave. While lower-paid employees are more likely to resign, excessive overtime and limited career progression opportunities appear to be equally important drivers of attrition.

To support retention efforts, a predictive model was developed to identify employees who may be at risk of leaving. The selected model was able to identify approximately **77% of employees who eventually left the organization**, making it a useful early-warning tool for HR teams.

Based on these findings, two key actions are recommended:

1. **Implement targeted retention programs for Sales Representatives and other high-risk roles**, including career development opportunities, structured growth plans, and compensation reviews.
2. **Reduce excessive overtime and improve work-life balance**, particularly for employees who consistently work beyond normal hours. Regular check-ins and workload reviews can help identify potential retention risks early.

While the model provides valuable insights, it should be used as a decision-support tool rather than a replacement for human judgment. Employee decisions are influenced by many factors that may not be captured in HR data, such as management quality, workplace culture, and external job opportunities.

Overall, the analysis indicates that focusing on compensation fairness, workload management, and career development for high-risk employee groups can significantly improve retention and reduce turnover costs.